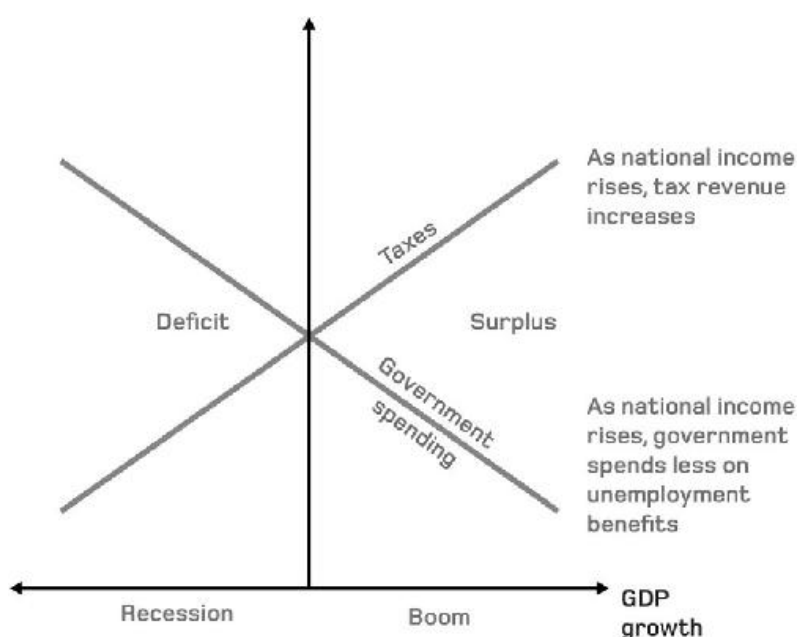


Automatic stabilizers

Governments sometimes try to smooth economic cycles by actively adjusting the amount they spend and tax. In addition, the structure of government spending and taxation creates 'automatic' stabilizers that moderate economic fluctuations even without active government intervention.

During a recession, economic activity declines. As incomes fall, the government takes less in tax: income tax, in particular, often falls quite rapidly because higher tax rates are levied at higher income levels, so as earned income falls, the average tax rate declines. As workers are laid off, the government pays out benefits, so spending rises. Tax rates and spending obligations together create an automatic shift towards more spending and less taxation that tends to boost the economy, moderating the recession. Conversely, during a recovery, the government takes more in tax as incomes rise. It also puts less money into the economy as it has to pay less in benefits. Now the automatic stabilizers work in the opposite direction.



The automatic stabilizers of fiscal policy